

4. In an hour, Sue can produce 40 caps or 4 jackets and Tessa can produce 80 caps or 4 jackets.
- Calculate Sue's opportunity cost of producing a cap.
 - Calculate Tessa's opportunity cost of producing a cap.
 - Who has a comparative advantage in producing caps?
 - If Sue and Tessa specialize in producing the goods in which each of them has a comparative advantage, and they trade 1 jacket for 15 caps, who gains from the specialization and trade?

1 Sue - 40 c or 4 j

-> 1 c or 1/10 (.1) j OR 10 c or 1 j = Jacket CA

2 tessa

- 80 c or 4 j -> 1c OR 1/20 (.05) j OR 20 c or 1 j = Cap CA

3 Tessa

4

(before trade)

sue - 4 j 0 c

tessa - 0 j 80 c

After trade

Sue - 3 j 15 c

Tessa - 1 j 65 c